

# FINANCIAL STATEMENTS

## TechFlow Solutions SL

Fiscal Years 2022-2024

### PROFIT & LOSS STATEMENT (€000s)

|                             | 2022       | 2023         | 2024         |
|-----------------------------|------------|--------------|--------------|
| Revenue                     | 1,250      | 1,980        | 2,810        |
| - Subscription Revenue      | 1,150      | 1,850        | 2,650        |
| - Professional Services     | 100        | 130          | 160          |
|                             |            |              |              |
| Cost of Sales               | -280       | -410         | -620         |
| - Hosting & Infrastructure  | -180       | -260         | -380         |
| - Support Staff             | -100       | -150         | -240         |
|                             |            |              |              |
| <b>Gross Profit</b>         | <b>970</b> | <b>1,570</b> | <b>2,190</b> |
| Gross Margin %              | 77.6%      | 79.3%        | 77.9%        |
|                             |            |              |              |
| Operating Expenses          | -890       | -1,340       | -1,850       |
| - Sales & Marketing         | -350       | -580         | -820         |
| - R&D                       | -320       | -480         | -650         |
| - G&A                       | -220       | -280         | -380         |
|                             |            |              |              |
| EBITDA                      | 80         | 230          | 340          |
| EBITDA Margin %             | 6.4%       | 11.6%        | 12.1%        |
|                             |            |              |              |
| Depreciation & Amortization | -45        | -65          | -85          |
|                             |            |              |              |
| EBIT                        | 35         | 165          | 255          |
|                             |            |              |              |
| Interest & Financial        | -15        | -20          | -12          |
| Tax                         | -8         | -42          | -73          |
|                             |            |              |              |
| Net Income                  | 12         | 103          | 170          |

**BALANCE SHEET (€000s)**

| ASSETS                                | 2023       | 2024         |
|---------------------------------------|------------|--------------|
| Current Assets                        |            |              |
| Cash & Cash Equivalents               | 380        | 420          |
| Accounts Receivable                   | 165        | 280          |
| Prepaid Expenses                      | 45         | 60           |
| <b>Total Current Assets</b>           | <b>590</b> | <b>760</b>   |
|                                       |            |              |
| Non-Current Assets                    |            |              |
| Property & Equipment                  | 85         | 110          |
| Intangible Assets (Software)          | 240        | 320          |
| Other Assets                          | 35         | 45           |
| <b>Total Non-Current Assets</b>       | <b>360</b> | <b>475</b>   |
|                                       |            |              |
| <b>TOTAL ASSETS</b>                   | <b>950</b> | <b>1,235</b> |
|                                       |            |              |
| LIABILITIES & EQUITY                  | 2023       | 2024         |
| Current Liabilities                   |            |              |
| Accounts Payable                      | 145        | 195          |
| Accrued Expenses                      | 85         | 110          |
| Deferred Revenue                      | 280        | 390          |
| Short-term Debt                       | 50         | 30           |
| <b>Total Current Liabilities</b>      | <b>560</b> | <b>725</b>   |
|                                       |            |              |
| Non-Current Liabilities               |            |              |
| Long-term Debt                        | 180        | 150          |
| <b>Total Liabilities</b>              | <b>740</b> | <b>875</b>   |
|                                       |            |              |
| Shareholders Equity                   |            |              |
| Share Capital                         | 100        | 100          |
| Retained Earnings                     | 110        | 260          |
| <b>Total Equity</b>                   | <b>210</b> | <b>360</b>   |
|                                       |            |              |
| <b>TOTAL LIABILITIES &amp; EQUITY</b> | <b>950</b> | <b>1,235</b> |

**KEY NOTES**

1. **Revenue Recognition:** Subscription revenue is recognized ratably over the contract term. Average contract length is 12 months with monthly billing for Basic/Professional and annual prepayment for Enterprise. 2. **Cash Position:** Current cash of €420K provides approximately 12 months of runway at current burn rate (€35K/month). The company has been EBITDA positive since Q3 2023. 3. **Debt Structure:** €150K long-term debt consists of an ICO loan (Spanish government-backed) at 3.2% fixed rate, maturing in December 2026. €30K short-term debt is a revolving credit line. 4. **Deferred Revenue:** High deferred revenue (€390K) reflects annual prepayments from Enterprise clients and is a positive indicator of customer commitment. This represents approximately 3.5 months of forward revenue. 5. **Accounts Receivable:** Days Sales Outstanding (DSO) increased from 30 to 36 days in 2024, reflecting slower collections from some mid-market accounts. Management is implementing automated dunning processes to address this.